

Management Letter — FY 2081/82

Issued by: XYZ & Co., Chartered Accountants

To: The Board of Directors, Himal Trading & Manufacturing Pvt. Ltd.

Re: Management Letter — FY 2081/82

Date: 2082-06-10

In the course of our audit, we noted the following matters which we are required to communicate to you. These do not affect our audit opinion but are brought to your attention for corrective action.

1. Vendor master — duplicate entries

We identified duplicate vendor codes for the same vendor (*Kathmandu Steel Suppliers* and *Mt. Everest Office Supply*) which could lead to duplicate payments. We recommend an immediate vendor master clean-up and a control to prevent creation of duplicate vendors at on-boarding stage.

2. Approval threshold breaches

Three purchase transactions exceeding NPR 5,00,000 lacked the required dual approval per the Internal Control Policy. Refer to Annexure A for details.

3. Related party documentation

Benchmark pricing documentation for purchases from *Himal Family Enterprises* was incomplete. This is contrary to the Procurement Policy and creates a transfer-pricing exposure.

4. PAN/VAT registration

Two active vendors do not have PAN/VAT details captured in the vendor master. We recommend a one-time data validation exercise.

5. Bank reconciliations

Bank reconciliations for the period Magh-Chaitra contained long-outstanding items (over 6 months). We recommend a monthly review of stale reconciling items by the CFO.

6. IT general controls

We observed shared user IDs being used in the accounting system. This compromises audit trail. Individual user IDs with role-based access should be implemented.

This is a synthetic teaching document. No real entity is referenced. Himal Trading & Manufacturing Pvt. Ltd. is fictional.